

Government macroeconomic intervention

A Level Economics

Governments try to steer the whole economy. This handout covers what they aim for and the three sets of tools they use.

Macroeconomic policy objectives

A government usually has five main aims:

- **price stability** 物价稳定—low and steady **inflation** 通货膨胀 (often a target of about 2% a year).
- **full employment** 充分就业—jobs for almost everyone who wants to work.
- **economic growth** 经济增长—a rising real output over time.
- **balance of payments** 国际收支 stability —not importing far more than the country exports for years on end.
- **redistribution of income** 收入再分配—narrowing the gap between rich and poor.

Conflicts between objectives

The aims can **conflict** 冲突—reaching one can hurt another:

- **growth versus inflation**: fast growth raises **aggregate demand** 总需求, which can pull prices up.
- **growth versus the balance of payments**: as incomes rise, people buy more imports, worsening the trade balance.
- **unemployment versus inflation**: cutting unemployment by raising demand can cause more inflation.
- **growth versus the environment**: more output often means more pollution.

The government has three sets of tools. Fiscal and monetary policy are **demand-side policies** 需求侧政策 (they work on AD). Supply-side policy works on **aggregate supply** 总供给.

Fiscal policy

fiscal policy 财政政策 is the use of government **spending** and **taxation** to influence the economy.

The **budget** 预算 compares the two:

- a **budget deficit** 预算赤字 is when spending is greater than tax revenue. The government must borrow, adding to the **national debt** 国债.
- a **budget surplus** 预算盈余 is when tax revenue is greater than spending.

Types of tax

- a **direct tax** 直接税 is paid straight to the government on income or profit (income tax, corporation tax).
- an **indirect tax** 间接税 is a tax on spending (added to the price of goods).

Taxes are also grouped by how the rate changes with income:

Type	How it works
progressive tax 累进税	the rate rises as income rises (the rich pay a larger share)
proportional tax 比例税	the rate stays the same at every income
regressive tax 累退税	the rate falls as income rises (the poor pay a larger share)

Using fiscal policy

- **expansionary** 扩张性 fiscal policy raises government spending or cuts taxes. This raises AD, to fight a recession and unemployment.
- **contractionary** 紧缩性 fiscal policy cuts spending or raises taxes. This lowers AD, to fight inflation.

Effectiveness. Fiscal policy can act fast on AD, but it has problems: time lags (a budget is set once a year), large deficits and debt, and **crowding out** 挤出效应—when heavy government borrowing pushes up interest rates and reduces private investment.

Monetary policy

monetary policy 货币政策 is run by the **central bank** 中央银行. Its main tool is the **interest rate** 利率, but it can also change the **money supply** 货币供给 or influence the **exchange rate** 汇率.

The transmission mechanism

The **transmission mechanism** 传导机制 is how a change in the interest rate reaches the wider economy. If the central bank **raises** the interest rate:

- borrowing becomes dearer, so households and firms spend and invest less.
- saving is rewarded, so people spend less.
- the currency tends to rise, so exports fall.

All of these lower AD, which slows inflation. A **cut** in the interest rate does the opposite, raising AD.

Effectiveness. Monetary policy is flexible (the rate can change at any time), but it works with a time lag of a year or more. In a deep slump, even very low rates may not make worried firms and households borrow.

Supply-side policy

supply-side policy 供给侧政策 tries to raise the economy's **productive capacity** 生产能力—to shift long-run aggregate supply to the right. It aims to make markets work better and raise **productivity** 生产率.

There are two kinds.

Market-based policies let markets work more freely:

- cutting income tax and benefits to strengthen the **incentive** 激励 to work.
- **privatisation** 私有化—selling state firms to private owners, who run them for profit.
- **deregulation** 放松管制—removing rules that block competition.

Interventionist policies use the government directly:

- spending on education and **training** 培训 to raise workers' skills.
- spending on **infrastructure** 基础设施—roads, ports and broadband.
- support for research and new technology.

Effectiveness. Supply-side policy is powerful because it can raise growth **and** lower inflation at the same time, with no trade-off. But it is slow (education takes years to pay off), costly, and some measures, like cutting benefits, can widen inequality.